

## U.S. IT Hardware

# Memory & Storage: Why Sandisk investor day makes us more bullish on SNDK; Reiterate Outperform TP \$3000



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*Yesterday we attended SNDK investor day in NYC where the company unveiled long-term financial guidance including significant shareholder return commitments, as well as updates on the industry and HBF (high bandwidth flash).*

**The industry is undergoing a paradigm shift from compute centric AI to memory centric AI.** Sandisk management and guest speaker, Tenstorrent CEO, talked about how memory capacity and memory bandwidth is the main limitation to compute and how NAND is the most optimal solution for inference given inference emphasis on read (vs. write) and the explosion of context memory (i.e. KV-cache).

**Progress on HBF, the potential solution to the Memory Wall.** High Bandwidth Flash (HBF) promises to be a game changer for AI and the memory industry with the bandwidth of the HBM and the capacity of NAND. Not only could this be a huge new growth driver for NAND demand, but would also require 3x to 4x the wafer capacity (in our estimates) per Exabyte due to the additional space required on-chip. This could significantly eat up wafer supply and lead to shortages continuing far longer than even the bulls expect. Besides Google, SK Hynix, and Tenstorrent, Meta has also now joined the HBF technology consortium.

**Updates on NBMs (New Business Models, i.e. long-term agreements) confirmed our view and analysis as laid out [here](#) and [here](#).** The coverage ratio of financial guarantees as a portion of remaining contract value increases over the contract life (2x in 2 years) to give much more protection in the outer years when it is most needed. Management also confirmed that 3 of the 8 customers are US hyperscalers and 2 of the early customers came back to renew and increase the NBMs.

**Sandisk's long-term model implied mid-high teens volume growth and stable pricing through FY2030, which was positively received.** The company also guided long-term gross margin around 80%, which was better than expected and inline with the NBM commentary.

**Sandisk announced that 100% of excess cash will be returned to shareholders with a strong hint that most if not all of this FCF will be returned in the form of buybacks.** Using even the most conservative of estimates for Free cash flow, **Sandisk can buyback ~50% of shares outstanding in the next 4 years** of free cash flow generation at current share prices. Using Bernstein and Consensus estimates, this % would be significantly higher.

**Overall, we came back even more convinced of the Sandisk bull thesis, reiterate Outperform, TP \$3000.** After the recent pull back in July we see this is as an attractive entry point as NAND industry tightness is expected to continue, NBMs help protect against downside in the outer years, and buybacks should reduce share count significantly. HBF is not in the model and could add potentially significant upside.

## BERNSTEIN TICKER TABLE

| Ticker         | Rating | Cur | 13 Aug<br>2026   | Price<br>Target | TTM           | Adjusted EPS |       |        |        | Adjusted P/E (x) |       |       |
|----------------|--------|-----|------------------|-----------------|---------------|--------------|-------|--------|--------|------------------|-------|-------|
|                |        |     | Closing<br>Price |                 | Rel.<br>Perf. | Cur          | 2026A | 2027E  | 2028E  | 2026A            | 2027E | 2028E |
| SNDK (SanDisk) | O      | USD | 1,528.11         | 3,000.00        | 3153.0%       | USD          | 70.08 | 238.36 | 272.09 | 21.8             | 6.4   | 5.6   |
| SPX            |        |     | 7,798.99         |                 |               |              |       |        |        |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

Overall, we came back even more convinced of the Sandisk bull thesis, reiterate Outperform, TP \$3000. After the recent pull back in July we see this is as an attractive entry point as NAND industry tightness is expected to continue, NBMs help protect against downside in the outer years, and buybacks should reduce share count significantly. HBF is not in the model and could add potentially significant upside.

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## DETAILS

Yesterday we attended SNDK investor day in NYC where the company unveiled long term financial guidance including significant shareholder return commitments, as well as updates on the industry and HBF (high bandwidth flash).

**Overall, we came back even more convinced of the Sandisk bull thesis, reiterate Outperform, TP \$3000.** After the recent pullback in July we see this is as an attractive entry point as NAND industry tightness is expected to continue, NBMs help protect against downside in the outer years, and buybacks should reduce share count significantly. HBF is not in the model and could add potentially significant upside.

### PART I: LONG-TERM MODEL IMPLIES SIGNIFICANT BUYBACKS AND EPS UPSIDE

**Sandisk's long-term model implied mid-high teens volume growth and stable pricing through FY2030, which was positively received.** The company also guided long-term gross margin around 80%, which was better than expected and inline with the NBM commentary.

**Sandisk announced that 100% of excess cash will be returned to shareholders with a strong hint that most if not all of this FCF will be returned in the form of buybacks.** Using even the most conservative of estimates for Free cash flow, **Sandisk can buyback 47% of shares outstanding in the next 4 years** of free cash flow generation at current share prices. **Using Bernstein and Consensus estimates, this % would be significantly higher.**

**SanDisk is targeting an adj FCF/revenue margin of approximately 50% for FY28-30**, and with no debt on the balance sheet, we believe that virtually all FCF can be returned to shareholders, predominantly through buybacks. We also think the 50% target may prove conservative and that management is deliberately setting a prudent bar for cash generation: our Bernstein estimates imply FCF margins of approximately 65%-69%, suggesting that actual FCF generation could be meaningfully higher than the targeted level.

**Applying the 50% margin to our Bernstein revenue estimates** implies FCF of \$25.0 billion in FY27, \$28.4 billion in FY28, \$25.0 billion in FY29, and \$26.5 billion in FY30, or \$104.9 billion cumulatively. Assuming a constant repurchase price of \$1,500 (Aug 13<sup>th</sup> stock price), SanDisk could retire approximately 16.7 million shares in FY27, 18.9 million in FY28, 16.7 million in FY29, and 17.7 million in FY30. The cumulative retirement of approximately 69.9 million shares would reduce the current 148.09 million share count to approximately 78.1 million by FY30, **a 47% reduction in shares outstanding**. Holding net income constant, this lower share count would **increase EPS by approximately 90%**, potentially supporting a similar increase in share price.

**If assuming constant buyback price of our \$3,000 Bernstein target price**, SanDisk could still retire approximately 35.0 million shares cumulatively, reducing the share count to approximately 113.1 million, a **24% reduction**, and **increasing EPS by approximately 31%** on a constant-net-income basis.

**SanDisk's buyback capacity is therefore highly accretive**, while potential upside to management's conservative 50% FCF margin target provides an additional source of share-count reduction, EPS growth, and share-price upside beyond the underlying earnings cycle.

In our view, the exceptional FCF margin, combined with a commitment to return 100% of excess FCF through buybacks, should also **warrant a rerating of the stock toward a double-digit multiple**.

EXHIBIT 1: **SNDK FCF and Share Buyback Illustrative Table**

| Fiscal year            | Bernstein revenue (\$mn) | FCF at 50% margin (\$mn) | Shares retired at \$1,500 (mn) | Shares retired at \$3,000 (mn) |
|------------------------|--------------------------|--------------------------|--------------------------------|--------------------------------|
| FY27                   | \$49,998                 | \$24,999                 | 16.7                           | 8.3                            |
| FY28                   | \$56,820                 | \$28,410                 | 18.9                           | 9.5                            |
| FY29                   | \$50,073                 | \$25,037                 | 16.7                           | 8.3                            |
| FY30                   | \$52,952                 | \$26,476                 | 17.7                           | 8.8                            |
| <b>FY27-FY30 total</b> | <b>\$209,843</b>         | <b>\$104,922</b>         | <b>69.9</b>                    | <b>35</b>                      |

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: **SNDK Buyback and EPS Accretion Illustrative Table**

| Buyback scenario              | Starting shares (mn) | Cumulative shares retired (mn) | FY30 ending shares (mn) | Share-count reduction | Implied EPS increase |
|-------------------------------|----------------------|--------------------------------|-------------------------|-----------------------|----------------------|
| Buybacks at \$1,500 per share | 148.09               | 69.9                           | 78.1                    | -47%                  | 90%                  |
| Buybacks at \$3,000 per share | 148.09               | 35                             | 113.1                   | -24%                  | 31%                  |

Source: Company reports, Bernstein estimates and analysis

**PART II: FROM COMPUTE-CENTRIC AI TO MEMORY-CENTRIC AI**

**We believe the industry is undergoing a paradigm shift from compute-centric AI to memory-centric AI, which Sandisk management and Tenstorrent CEO talked about. As AI models continue to scale, the memory required to store their growing parameter footprint is increasing rapidly. However, larger models do not necessarily demand proportionally more compute, particularly as emerging architectures improve computational efficiency. As a result, memory capacity and bandwidth are becoming increasingly critical determinants of AI system performance and scalability.**

**A key driver of this shift is the growing adoption of Mixture of Experts (MoE) architectures.** As shown in [Exhibit 3](#), model architectures are evolving toward significantly larger total parameter counts, while the number of active parameters is declining under the Mixture of Experts (MoE) framework. Although all model parameters must reside in memory, MoE reduces computational requirements through conditional computation, activating only a small subset of parameters for any given task. Instead of processing every input across the entire model, MoE employs a routing, or gating, network that dynamically directs each token to the most relevant specialized sub-networks, known as experts. Typically, only one or two experts are activated for a given token, while the remaining experts remain inactive. As a result, the model can leverage the capacity of a much larger parameter base while performing computations on only a fraction of those parameters, significantly improving compute efficiency.

**Related to this memory-centric AI thesis is tokenomics.** There is a meaningful cost difference between compute (fresh uncached) tokens and cached tokens. A compute token represents new, unprocessed input that must be run through the model's full inference pipeline, requiring substantial matrix computations and driving higher GPU utilization, power consumption, and Time-to-First-Token latency. In contrast, a cached token represents content that has already been processed in a previous inference step. Rather than recomputing the information, the model retrieves precomputed Key-Value (KV) states stored in memory, known as the KV cache. Because accessing cached data is far less computationally intensive than recomputing it, cache tokens are significantly cheaper to serve. The industry has converged on a 90% discount for cache reads - OpenAI, Anthropic and Google all price cached token at exactly 10% of compute token on current-generation models ([Exhibit](#)

4).

## EXHIBIT 3: Evolution of model total parameters and active parameters

| Models  | Released     | Total Parameters       | Mixture of Experts          | Active Parameters  | Context Length |
|---------|--------------|------------------------|-----------------------------|--------------------|----------------|
| Grok 4  | Jul 9, 2025  | ~1.7T <sup>†</sup>     | Dense (Est.) <sup>†</sup>   | ~1.7T <sup>†</sup> | 256K           |
| GLM 5.2 | Jun 13, 2026 | 744B                   | 256 (8 Active) <sup>†</sup> | 40B                | 1M             |
| GPT 5.6 | Jul 9, 2026  | ~1.7-1.8T <sup>†</sup> | No Public Est.              | No Public Est.     | 1.05M          |
| Kimi K3 | Jul 16, 2026 | 2.8T                   | 896 (16 Active)             | ~50B <sup>†</sup>  | 1M             |

<sup>†</sup> Best-available published estimate, not an official figure - actual specs unconfirmed. Anthropic, OpenAI and xAI do not publish full architecture details.

Estimates - published third-party analyses:  
 Grok 4 ~1.7T dense (whitex.ai, apxmt); Claude Mythos 5 ~10T leak (Medium, AI Magic); GLM 5.2 256 experts / 8 active (gim5.app, DeepWiki)  
 GPT-5 ~1.7-1.8T dense-equiv (CometAPI, A2E); Kimi K3 ~50B active (Hugging Face). Official context: GPT-5.6 1.05M (OpenAI), Grok 4 256K (xAI)

**Higher Memory Capacity** (Model Size, Context Lengths) + **Lower Compute Requirements** (MoE Architecture) = **Memory-Centric AI**

Source: Sandisk investor day presentation

## EXHIBIT 4: Cache tokens cost only 10% of Compute tokens

| Model                  | Compute (\$/1M tokens) | Cache read (\$/1M tokens) | Cache read as % of input |
|------------------------|------------------------|---------------------------|--------------------------|
| OpenAI gpt-5.6-sol     | \$5.00                 | \$0.50                    | 10.0%                    |
| OpenAI gpt-5.6-terra   | \$2.00                 | \$0.20                    | 10.0%                    |
| OpenAI gpt-5.6-luna    | \$0.20                 | \$0.02                    | 10.0%                    |
| OpenAI gpt-5.4         | \$2.50                 | \$0.25                    | 10.0%                    |
| OpenAI gpt-4o          | \$2.50                 | \$1.25                    | 50.0%                    |
| Claude Opus 5 / 4.8    | \$5.00                 | \$0.50                    | 10.0%                    |
| Claude Sonnet 5        | \$2.00                 | \$0.20                    | 10.0%                    |
| Claude Sonnet 4.6      | \$3.00                 | \$0.30                    | 10.0%                    |
| Claude Haiku 4.5       | \$1.00                 | \$0.10                    | 10.0%                    |
| Gemini 3.1 Pro (≤200k) | \$2.00                 | \$0.20                    | 10.0%                    |
| Gemini 3 Flash         | \$0.50                 | \$0.05                    | 10.0%                    |
| Gemini 2.5 Pro (≤200k) | \$1.25                 | \$0.13                    | 10.0%                    |
| Gemini 2.5 Flash       | \$0.30                 | \$0.03                    | 10.0%                    |
| DeepSeek V4-Pro        | \$0.44                 | \$0.00                    | ~0.8%                    |
| DeepSeek V4-Flash      | \$0.14                 | \$0.00                    | ~2%                      |

Source: <https://developers.openai.com/api/docs/pricing>; <https://platform.claude.com/docs/en/about-claude/pricing>; [ai.google.dev](https://ai.google.dev); [api-docs.deepseek.com](https://api-docs.deepseek.com)

## PART III: HBF - POTENTIAL GAME CHANGER FOR AI AND NAND INDUSTRY

**Progress on HBF, the potential solution to the Memory Wall.** High Bandwidth Flash (HBF) promises to be a game changer for AI and the memory industry with the bandwidth of the HBM and the capacity of NAND. Not only could this be a huge new growth driver for NAND demand, but would also require 3x to 4x the wafer capacity (in our estimates) per Exabyte due to the additional space required on-chip. This could significantly eat up wafer supply and lead to shortages continuing far longer than even the bulls expect. Besides Google, SK Hynix, and Tenstorrent, Meta has also now joined the HBF technology consortium

**High Bandwidth Flash (HBF) is SanDisk's important strategic bet and, in our view, a potential game-changer for the NAND industry.** Built on SanDisk's BiCS architecture with CBA hybrid bonding, HBF targets HBM-comparable read bandwidth at 8-16x HBM's capacity at similar unit cost. Under the new paradigm of memory-centric AI, memory capacity and bandwidth are the binding constraint on inference performance. HBF slots into the AI architecture as a high-bandwidth, high-capacity persistent tier that sits between HBM and conventional SSDs, absorbing KV Cache at a fraction of HBM's cost per GB and

directly serving the new memory-centric paradigm — a legitimately new, high-value NAND end-market.

**At the 2026 Investor Day, we received several meaningful updates on HBF.** Firstly, ecosystem momentum is building: Meta joined the OCP-backed HBF consortium (alongside SK hynix, Google, Tenstorrent). Moreover, management discussed designing HBF-based XPU as alternatives to HBM-centric, Nvidia-style architectures. On tech, Alper Bahar disclosed SanDisk has taped out its first HBF memory die and expects first customer samples of inference devices in 2027.

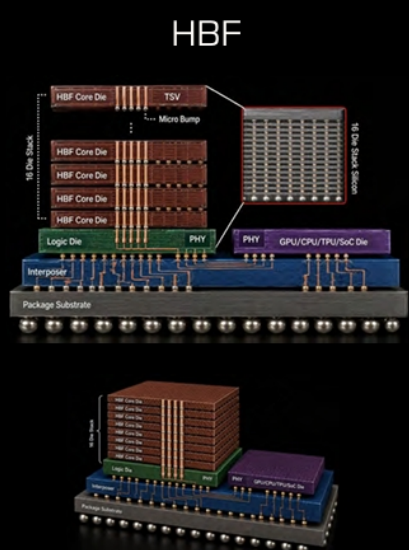
**The HBF ramp could meaningfully tighten NAND supply.** An HBF die (~32GB) holds a quarter the capacity of a TLC die (~128GB), since the physical die size is likely similar, producing HBF may require roughly 4x the die count and wafer area versus conventional TLC NAND — a 4x baseline trade ratio from the capacity gap alone. Additional logic, packaging, and yield could push the trade ratio could likely run even higher than 4x. That means HBF volume would consume a disproportionately large share of effective industry wafer capacity relative to the bits delivered, perpetuating supply tightness and supporting pricing.

Based on Sandisk's [own press release from 2025](#), **SanDisk targets HBF at "similar cost" to HBM at 8-16x capacity, implying HBF cost of roughly \$20/GB ÷ (8-16x) = \$1.25-\$2.50/GB. In FQ4/26**, SanDisk's cost was ~\$0.0485/GB for regular NAND, and if we apply a ~4x manufacturing cost premium (per the trade-ratio logic above), that implies an HBF cost of ~\$0.19/GB. **At the midpoint of pricing (\$1.875/GB), HBF gross margin is implied at ~90%** — significantly higher versus the 84.6% reported in FQ4. **At the high end (\$2.50/GB), margin rises to ~92%.** Even a mid-case points to HBF margins comfortably above core NAND — making a successful ramp both a mix and margin tailwind simultaneously.

#### EXHIBIT 5: HBF: Sandisk's solution to the Memory Wall problem

## HBF™: SANDISK'S SOLUTION TO THE MEMORY WALL PROBLEM

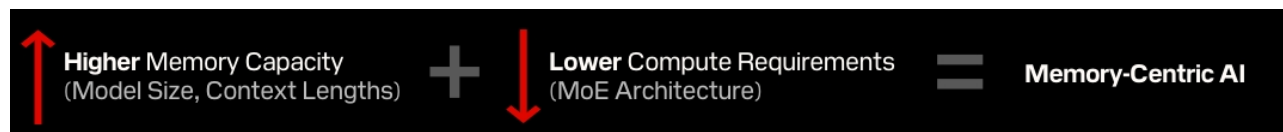
- Same read bandwidth as HBM with up to 8-16x capacity
- Invented for AI inference workloads with large MoE based LLMs, long context lengths, and large KV Caches
- Architecture developed with inputs from major cloud/AI customers



HBF

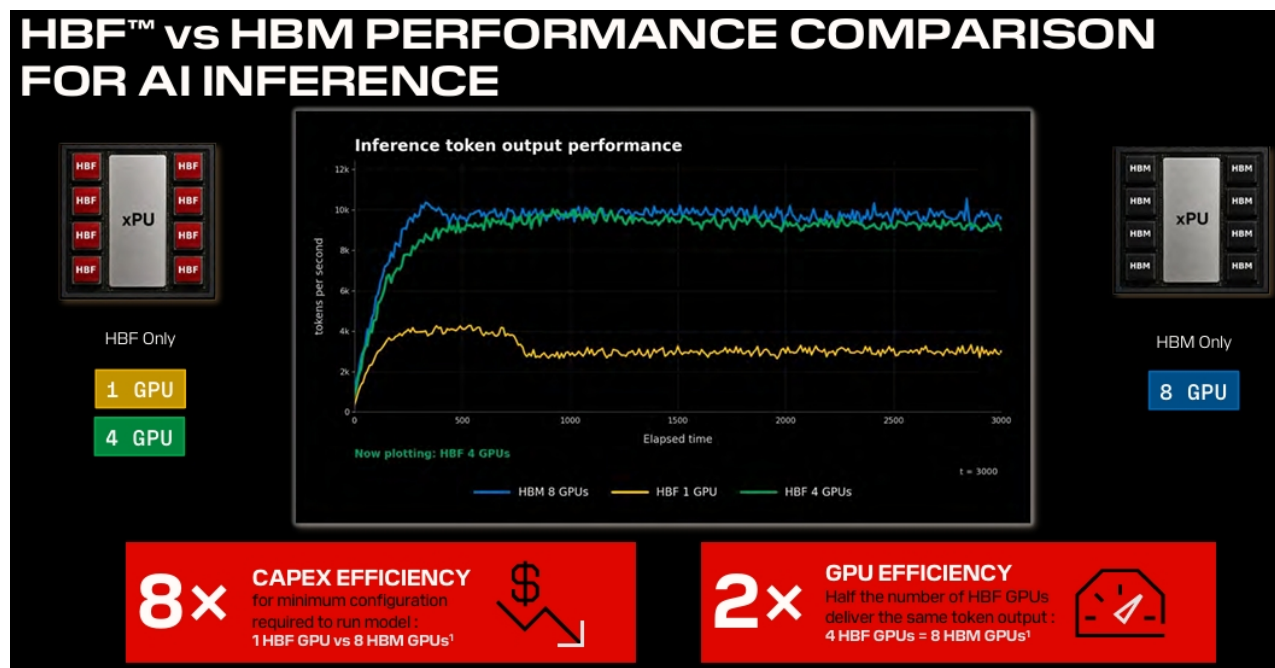
Source: Sandisk Investor day

#### EXHIBIT 6: Recent AI Model Trends: Memory centric inference



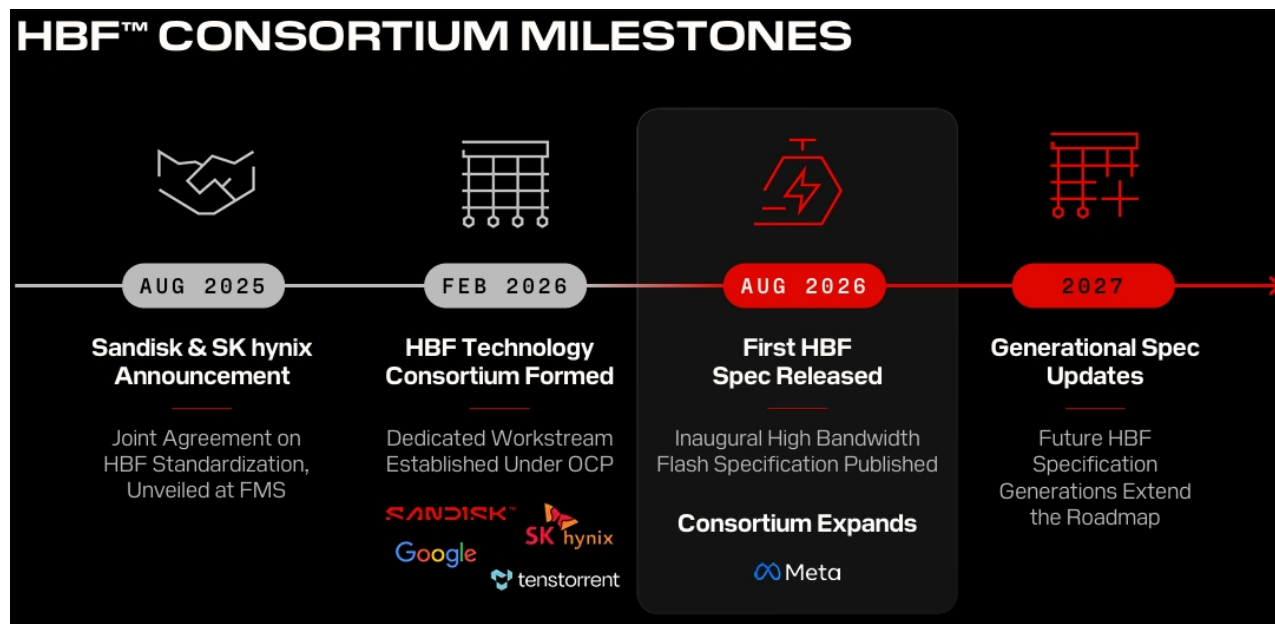
Source: Sandisk investor day

EXHIBIT 7: HBF can potentially improve capex efficiency and GPU efficiency for AI inference



Source: Sandisk investor day

EXHIBIT 8: Meta joins Sandisk, SK Hynix, Google and Tenstorrent in the HBF Technology Consortium



Source: Sandisk investor day

## APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 9: SNDK Income Statement

|                                              | 4Q26         | 1Q27E        | 2Q27E         | 3Q27E         | 4Q27E         | 2025           | 2026E         | 2027E         | 2028E         |
|----------------------------------------------|--------------|--------------|---------------|---------------|---------------|----------------|---------------|---------------|---------------|
| <b>Consolidated Income Statement</b>         |              |              |               |               |               |                |               |               |               |
| Revenues                                     | 8,965        | 10,554       | 12,770        | 13,073        | 13,601        | 7,355          | 20,248        | 49,998        | 56,820        |
| COGS                                         | 1,383        | 1,538        | 1,633         | 1,560         | 1,552         | 5,143          | 5,776         | 6,284         | 6,730         |
| <b>Gross Profit</b>                          | <b>7,582</b> | <b>9,015</b> | <b>11,137</b> | <b>11,513</b> | <b>12,049</b> | <b>2,212</b>   | <b>14,472</b> | <b>43,714</b> | <b>50,090</b> |
| SG&A                                         | 197          | 215          | 221           | 228           | 235           | 573            | 676           | 899           | 1,016         |
| R&D                                          | 348          | 380          | 395           | 411           | 427           | 1,132          | 1,328         | 1,614         | 1,936         |
| Restructuring/Impairment and other           | -            | -            | -             | -             | -             | 1,884          | 79            | -             | -             |
| <b>Operating Profit</b>                      | <b>7,037</b> | <b>8,420</b> | <b>10,520</b> | <b>10,874</b> | <b>11,387</b> | <b>(1,377)</b> | <b>12,389</b> | <b>41,201</b> | <b>47,137</b> |
| Non-operating Income                         | -            | -            | -             | -             | -             | -              | -             | -             | -             |
| Interest income (expense), net               | 28           | 28           | 28            | 28            | 28            | (41)           | (3)           | 112           | 112           |
| Other income (expense), net                  | (20)         | -            | -             | -             | -             | (61)           | (173)         | -             | -             |
| Non-recurring gain (loss), net               | -            | -            | -             | -             | -             | -              | -             | -             | -             |
| <b>Earnings Before Tax</b>                   | <b>7,045</b> | <b>8,448</b> | <b>10,548</b> | <b>10,902</b> | <b>11,415</b> | <b>(1,479)</b> | <b>12,213</b> | <b>41,313</b> | <b>47,249</b> |
| Income Tax (Benefit)                         | 946          | 1,267        | 1,582         | 1,635         | 1,712         | 162            | 1,584         | 6,197         | 7,087         |
| <b>Net Income</b>                            | <b>6,099</b> | <b>7,181</b> | <b>8,966</b>  | <b>9,266</b>  | <b>9,703</b>  | <b>(1,641)</b> | <b>10,629</b> | <b>35,116</b> | <b>40,162</b> |
| <b>Non-GAAP net income (loss)</b>            | <b>6,162</b> | <b>7,293</b> | <b>9,093</b>  | <b>9,399</b>  | <b>9,843</b>  | <b>440</b>     | <b>10,985</b> | <b>35,627</b> | <b>40,487</b> |
| <b>Non-GAAP EPS</b>                          | <b>39.25</b> | <b>47.12</b> | <b>59.94</b>  | <b>63.38</b>  | <b>67.92</b>  | <b>2.99</b>    | <b>70.08</b>  | <b>238.36</b> | <b>272.09</b> |
| <b>%GM (Non-GAAP)</b>                        | <b>84.6%</b> | <b>85.5%</b> | <b>87.2%</b>  | <b>88.1%</b>  | <b>88.6%</b>  | <b>30.3%</b>   | <b>71.6%</b>  | <b>87.5%</b>  | <b>88.2%</b>  |
| <b>%OP(Non-GAAP)</b>                         | <b>79%</b>   | <b>80%</b>   | <b>83%</b>    | <b>84%</b>    | <b>84%</b>    | <b>9%</b>      | <b>63%</b>    | <b>83%</b>    | <b>84%</b>    |
| <b>Drivers</b>                               |              |              |               |               |               |                |               |               |               |
| Non-GAAP Opex                                | 484          | 530          | 549           | 569           | 590           | 1,539          | 1,791         | 2,237         | 2,628         |
| GAAP Opex                                    | 545          | 595          | 617           | 639           | 662           | 3,589          | 2,083         | 2,513         | 2,953         |
| <b>Stock-based compensation</b>              | <b>61</b>    | <b>65</b>    | <b>68</b>     | <b>70</b>     | <b>73</b>     | <b>2,050</b>   | <b>292</b>    | <b>276</b>    | <b>325</b>    |
| SBC as % of total Opex                       | 11.2%        | 11.0%        | 11.0%         | 11.0%         | 11.0%         | 57.1%          | 14.0%         | 11.0%         | 11.0%         |
| <b>Total Non-GAAP adjustments</b>            | <b>(785)</b> | <b>65</b>    | <b>68</b>     | <b>70</b>     | <b>73</b>     | <b>2,094</b>   | <b>(521)</b>  | <b>276</b>    | <b>325</b>    |
| Non-GAAP adjustments as % of GAAP net income | -11.4%       | 0.9%         | 0.8%          | 0.8%          | 0.8%          | -127.6%        | -4.6%         | 0.8%          | 0.8%          |

Source: Company reports, Bernstein estimates and analysis

## EXHIBIT 10: SNDK Balance Sheet

|                                                    | 4Q26          | 1Q27E         | 2Q27E         | 3Q27E         | 4Q27E         | 2025          | 2026E         | 2027E         | 2028E         |
|----------------------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>Consolidated Balance Sheet</b>                  |               |               |               |               |               |               |               |               |               |
| Cash and cash equivalents                          | 4,762         | 14,441        | 27,385        | 43,045        | 59,588        | 1,481         | 4,762         | 59,588        | 69,646        |
| Short-term marketable securities                   | -             | -             | -             | -             | -             | -             | -             | -             | -             |
| Receivables                                        | 4,708         | 5,482         | 6,706         | 6,865         | 7,143         | 1,068         | 4,708         | 7,143         | 8,117         |
| Inventories                                        | 2,698         | 2,969         | 3,186         | 3,044         | 3,027         | 2,079         | 2,698         | 3,027         | 3,242         |
| Other Current Assets                               | 612           | 612           | 612           | 612           | 612           | 458           | 612           | 612           | 612           |
| <b>Current Assets</b>                              | <b>12,780</b> | <b>23,504</b> | <b>37,889</b> | <b>53,567</b> | <b>70,370</b> | <b>5,086</b>  | <b>12,780</b> | <b>70,370</b> | <b>81,618</b> |
|                                                    | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             |
| Long-term marketable securities                    | 1,777         | 1,777         | 1,777         | 1,777         | 1,777         | -             | 1,777         | 1,777         | 1,777         |
| Notes receivable and investments in Flash Ventures | 678           | 678           | 678           | 678           | 678           | 654           | 678           | 678           | 678           |
| Property, plant & equipment                        | 674           | 716           | 755           | 792           | 827           | 619           | 674           | 827           | 1,015         |
| Intangible Assets                                  | -             | -             | -             | -             | -             | -             | -             | -             | -             |
| Goodwill                                           | 4,994         | 4,994         | 4,994         | 4,994         | 4,994         | 4,999         | 4,994         | 4,994         | 4,994         |
| Other Non-current Assets                           | 1,604         | 1,604         | 1,604         | 1,604         | 1,604         | 1,627         | 1,604         | 1,604         | 1,604         |
| <b>Non-Current Assets</b>                          | <b>9,727</b>  | <b>9,769</b>  | <b>9,808</b>  | <b>9,845</b>  | <b>9,880</b>  | <b>7,899</b>  | <b>9,727</b>  | <b>9,880</b>  | <b>10,068</b> |
| <b>Total Assets</b>                                | <b>22,507</b> | <b>33,273</b> | <b>47,697</b> | <b>63,412</b> | <b>80,250</b> | <b>12,985</b> | <b>22,507</b> | <b>80,250</b> | <b>91,686</b> |
| Accounts Payables                                  | 976           | 1,074         | 1,152         | 1,101         | 1,095         | 766           | 976           | 1,095         | 1,251         |
| Long-term debt                                     | -             | -             | -             | -             | -             | 1,829         | -             | -             | -             |
| Other Liabilities                                  | 5,795         | 5,795         | 5,795         | 5,795         | 5,795         | 1,174         | 5,795         | 5,795         | 5,795         |
| <b>Total Liabilities</b>                           | <b>6,771</b>  | <b>6,869</b>  | <b>6,947</b>  | <b>6,896</b>  | <b>6,890</b>  | <b>3,769</b>  | <b>6,771</b>  | <b>6,890</b>  | <b>7,046</b>  |
| Common stock                                       | 10,880        | 7,534         | 2,300         | (4,049)       | (11,035)      | 11,249        | 10,880        | (11,035)      | (39,910)      |
| Retained earnings                                  | 9,649         | 16,830        | 25,796        | 35,062        | 44,765        | (1,784)       | 9,649         | 44,765        | 84,927        |
| AOCI and other                                     | (256)         | (246)         | (236)         | (226)         | (216)         | (249)         | (256)         | (216)         | (206)         |
| <b>Total shareholders' equity</b>                  | <b>15,736</b> | <b>24,118</b> | <b>27,860</b> | <b>30,787</b> | <b>33,514</b> | <b>9,216</b>  | <b>15,736</b> | <b>33,514</b> | <b>44,811</b> |
| Minority interest                                  | -             | -             | -             | -             | -             | -             | -             | -             | -             |
| <b>Total Equity</b>                                | <b>15,736</b> | <b>24,118</b> | <b>27,860</b> | <b>30,787</b> | <b>33,514</b> | <b>9,216</b>  | <b>15,736</b> | <b>33,514</b> | <b>44,811</b> |
| <b>Total Liabilities and Equity</b>                | <b>22,507</b> | <b>30,987</b> | <b>34,807</b> | <b>37,683</b> | <b>40,405</b> | <b>12,985</b> | <b>22,507</b> | <b>40,405</b> | <b>51,857</b> |

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **SNDK Cash Flow Statement**

| Consolidated Cash Flow Statement                          | 4Q26    | 1Q27E  | 2Q27E   | 3Q27E  | 4Q27E  | 2025    | 2026E   | 2027E   | 2028E    |
|-----------------------------------------------------------|---------|--------|---------|--------|--------|---------|---------|---------|----------|
| <b>Working capital</b>                                    | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Working capital assets                                    | 9,622   | 10,667 | 12,108  | 12,125 | 12,386 | 5,232   | 9,622   | 12,386  | 13,576   |
| Working capital liabilities                               | 6,771   | 6,869  | 6,947   | 6,896  | 6,890  | 1,940   | 6,771   | 6,890   | 7,046    |
| <b>Net working capital</b>                                | 2,851   | 3,798  | 5,160   | 5,229  | 5,496  | 3,292   | 2,851   | 5,496   | 6,529    |
| <b>Cash flows from operating activities</b>               | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Net income                                                | 6,099   | 7,181  | 8,966   | 9,266  | 9,703  | (1,641) | 10,629  | 35,116  | 40,162   |
| Add: Depreciation                                         | 37      | 38     | 41      | 43     | 45     | 73      | 149     | 167     | 195      |
| Add: Amortization                                         | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Less: Net gain/(loss) on investments/others               | (422)   | 10     | 10      | 10     | 10     | 1,896   | (114)   | 40      | 10       |
| Changes in net working capital:                           | 608     | (947)  | (1,363) | (69)   | (267)  | 107     | 203     | (2,645) | (1,033)  |
| <b>Net cash from operating activities</b>                 | 7,126   | 6,283  | 7,654   | 9,251  | 9,491  | (11)    | 11,671  | 32,679  | 39,333   |
| <b>Cash flows from investing activities</b>               | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Net acquisition of marketable securities                  | -       | -      | -       | -      | -      | -       | 1,777   | -       | -        |
| Fusion-IO net of cash                                     | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Non-JV PP&E                                               | (43)    | (80)   | (80)    | (80)   | (80)   | (156)   | (139)   | (320)   | (400)    |
| Net (contributions to) / distributions from JVs with Tost | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Net (contributions to) / distributions from other JVs     | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Acquisition of intangible assets                          | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Proceeds from dispositions of businesses                  | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Notes receivable issuances to Falsh Ventures              | (123)   | -      | -       | -      | -      | -       | -       | -       | -        |
| Notes receivable proceeds from Flash Ventures             | 13      | -      | -       | -      | -      | -       | -       | -       | -        |
| <b>Net cash from investing activities</b>                 | (1,123) | (80)   | (80)    | (80)   | (80)   | (156)   | 1,638   | (320)   | (400)    |
| <b>Cash flows from financing activities</b>               | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Issuance of stock under employee stock plans              | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Repayment of debt                                         | 29      | -      | -       | -      | -      | -       | -       | -       | -        |
| Payment of dividends                                      | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| Net increase (decrease) in debt / Other                   | -       | -      | -       | -      | -      | 1,829   | (1,829) | -       | -        |
| Net stock issuance and buybacks                           | (4,524) | 3,477  | 5,370   | 6,490  | 7,131  | 11,249  | (369)   | 22,468  | (28,875) |
| Others                                                    | (481)   | -      | -       | -      | -      | -       | -       | -       | -        |
| <b>Net cash from financing activities</b>                 | (4,976) | 3,477  | 5,370   | 6,490  | 7,131  | 13,078  | (2,198) | 22,468  | (28,875) |
| FX effect from foreign currency denominated cash          | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| <b>Net increase in cash and cash equivalents</b>          | 1,027   | 9,679  | 12,944  | 15,660 | 16,543 | 12,911  | 11,111  | 54,826  | 10,058   |
| Cash and cash equivalents at beginning of year            | 3,735   | 4,762  | 14,441  | 27,385 | 43,045 | -       | 1,481   | 4,762   | 59,588   |
| <b>Cash and cash equivalents at end of the year</b>       | 4,762   | 14,441 | 27,385  | 43,045 | 59,588 | 1,481   | 4,762   | 59,588  | 69,646   |
| Check:                                                    | -       | -      | -       | -      | -      | -       | -       | -       | -        |
| <b>Free cash flow</b>                                     | 7,083   | 6,203  | 7,574   | 9,171  | 9,411  | (167)   | 11,532  | 32,359  | 38,933   |
| Activity related to Flash Ventures, net                   | (110)   | -      | -       | -      | -      | -       | -       | -       | -        |
| <b>Adjusted free cash flow</b>                            | 5,035   | 6,203  | 7,574   | 9,171  | 9,411  | (167)   | 11,532  | 32,359  | 38,933   |
| <b>FCF Conversion</b>                                     | 116%    | 86%    | 84%     | 99%    | 97%    | 10%     | 108%    | 92%     | 97%      |
| Operating Profit Conversion                               | 72%     | 74%    | 72%     | 84%    | 83%    | 12%     | 93%     | 79%     | 83%      |

Source: Company reports, Bernstein estimates and analysis

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**VALUATION METHODOLOGY****SanDisk Corp**

We value SNDK at \$3000 on 11x FY28 EPS, or 14x through cycle EPS (FY26-30 avg EPS).

**RISKS****SanDisk Corp**

The biggest risks to the downside on Sandisk and to our price target are that: 1) Near-term numbers look high and face cyclical downside from NAND; 2) SNDK's disclosures and broader investor communications have been confusing, potentially dissuading more quality-focused investors; and 3) NAND weakness could extend beyond the current cycle and be more structural, in which case Sandisk's DCF value could be structurally lower and the impaired value of its assets may be materially below replacement cost.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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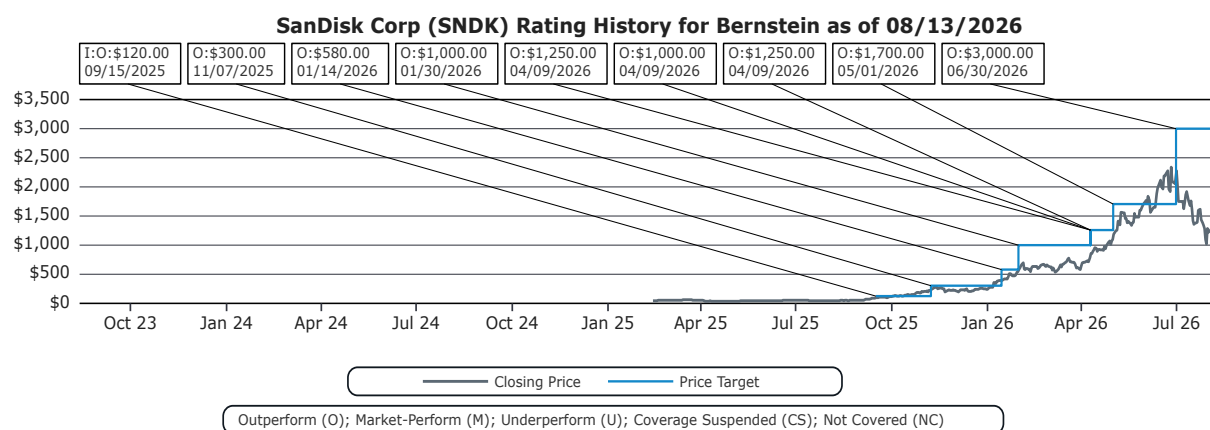
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| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
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